56. Should the annual report include the average annual total returns table, as proposed? Why or why not? Should we modify the proposed requirements for the table? If so, how?

57. Should we require funds to include the average annual total returns of an appropriate broad-based securities market index and allow funds to include the returns of additional indexes in the average annual total returns table, as proposed, and as funds currently do in their prospectuses? Should we make any changes to this aspect of the proposal? Please explain.

58. Should we require funds to include the average annual total returns of each class that the annual report covers, as proposed, and as funds currently do in their prospectuses? Should we modify this aspect of the proposal? For example, should we only require average annual total returns for one class or for a set number of classes? If so, should we provide funds with flexibility for determining which class to disclose in the average annual total returns table, similar to the proposed instruction for the line graph, or should we take a different approach?[232] Are there ways to improve the design or presentation of the table, particularly when covering multiple classes?

59. Should we modify the average annual total returns table to require funds to separately provide the average annual total returns with and without sales charges, as proposed? Would requiring information about average annual total returns without sales charges be helpful to shareholders, or would this information make the table too confusing or complex? Have we provided sufficient calculation instructions for funds to determine average

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[232] *See supra* footnote 196 and accompanying text.

annual total returns without sales charges? If not, what additional information do funds need for purposes of this calculation?

60. Should we, as proposed, modify the statement that currently must accompany the line graph and table indicating that past performance does not predict future performance and retain the statement that the line graph and table presentations do not reflect taxes that a shareholder would pay on fund distributions or redemptions? Are there other ways we could make the statement about past performance more understandable for shareholders? Is the statement clarifying that performance does not reflect the deduction of taxes helpful to shareholders, or is it unnecessary boilerplate? If it is not helpful to shareholders, should we modify or remove this language?

61. Should we, as proposed, allow a fund to include a brief legend or footnote to its line graph and average annual total returns table to describe a material change, such as a change in investment adviser or a change to the fund's investment strategies, that occurred to the fund during the relevant period? Would this provision provide shareholders with useful contextual information? If so, should we make the disclosure mandatory? If not, why not? Are there ways we could improve the utility or design of this provision? For example, are there ways we should modify the provision to limit any risk that funds might attempt to justify fund losses by referring to an unrelated change to the fund? Is the meaning of "material change" in this provision sufficiently clear, or do funds need more guidance to help them determine whether a change is material for purposes of this provision? Should we modify the standard for determining the types of changes that funds can disclose in connection with their shareholder report performance presentations? For example, rather than refer to material changes, should we identify specific types of changes that funds can disclose? If so, what

types of changes should the provision cover (*e.g.*, should it be limited to changes in investment advisers and changes in principal investment strategies, or should it include other changes)? If we retain a principles-based standard, should we use a different standard than material changes (*e.g.*, significant changes)? Should we only allow a "brief" legend or footnote, as proposed?

62. Should we require funds that provide updated performance information through widely accessible mechanisms, such as fund websites, to include information in their annual reports directing shareholders to where they can find updated performance information, as proposed? Should we modify or clarify this requirement in any way? Should we instead permit, but not require, a fund to include this information in its annual report? As proposed, should we require funds that provide updated performance information on their websites to inform shareholders of this updated information in their annual shareholders reports and to direct shareholders to where the updated performance information is located? Should we require all funds to provide updated performance information on their websites? If so, what performance information? How often should it be updated?

iv. Other MDFP Amendments

We propose to simplify the current requirement that a fund discuss in its annual report the effect of any policy or practice of maintaining a specified level of distribution to shareholders (a "stable distribution policy") on the fund's investment strategies and per share net asset value during the last fiscal year, as well as the extent to which the fund's distribution policy resulted in distributions of capital.[233] The current disclosure requirement is meant to

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[233] *See* Item 27(b)(7)(iii) of Form N-1A (requiring a fund to "[d]iscuss the effect of any policy or

give shareholders a clearer picture of whether a fund had to distribute capital, as well as profits, to maintain its distribution rate.[234] Under the proposed amendments, a fund that has a stable distribution policy and that was unable to maintain the specified level during the past fiscal year would need to disclose this.[235] We also propose to maintain disclosure concerning distributions that resulted in returns of capital.[236] By modifying this provision to focus on circumstances when a fund was unable to meet the specified level of distribution in its stable distribution policy or had distributions that resulted in returns of capital, the proposal is designed to result in disclosure that is more meaningful to shareholders than the current requirement. In particular, we believe that the proposed disclosure about a fund's inability to maintain a specified level of distribution would be important to shareholders in funds that have stable distribution policies because they typically expect to receive regular distributions. As a result, the fund's inability to meet the specified level of distributions may affect a shareholder's investment decision (*e.g.*, whether to continue to hold the fund). In addition, we believe that simplifying the language of this requirement, as proposed, could result in disclosure that is more understandable to shareholders because funds tend to use language in their disclosures that tracks the language of Commission form requirements. As most funds do

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practice of maintaining a specified level of distributions to shareholders on the Fund's investment strategies and per share net asset value during the fiscal year [as well as] the extent to which the Fund's distribution policy resulted in distributions of capital").

234 *See* MDFP Adopting Release, *supra* footnote 180, at Section I.C.4.

235 *See* proposed Item 27A(d)(3) of Form N-1A.

236 *See id*.

not have stable distribution policies, we do not anticipate that this proposed disclosure requirement would add to the length of most shareholder reports.

The Commission recently adopted amendments to limit the requirement that ETFs provide premium and discount information in their annual reports to only those ETFs that do not provide premium and discount disclosure on their websites in accordance with Investment Company Act rule 6c-11.[237] We are not proposing any amendments to this annual report requirement beyond a technical amendment to clarify that it only applies to ETFs.[238] We believe that most ETFs will provide premium and discount information on their websites instead of in their annual reports.[239]

We request comment on the proposed amendments to the MDFP disclosure regarding stable distribution policies and on the ETF premium and discount information that would remain in the annual report, as well as on MDFP disclosure more generally, including:

63. Should we modify the requirement that funds discuss the effects of any stable distribution policy under current Item 27(b)(7)(iii) in their annual reports, as proposed? Would the proposed requirement provide meaningful information to shareholders that is not otherwise available? Should we instead remove any specific disclosure requirements related to stable distribution policies? If we do not require this type of information in annual reports, should we require funds to make it available elsewhere?

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237 *See* Adopting Release, *supra* footnote 75; Item 27(b)(7)(iv) of Form N-1A.

238 *See* proposed Item 27A(d)(4) of Form N-1A.

239 *See* ETF Adopting Release, *supra* footnote 75, at paragraph accompanying n.499 (stating that the Commission believes that most ETFs not relying on rule 6c-11 will choose to comply with the website disclosure requirements in that rule).

64. Should we continue to require ETFs that do not provide premium and discount information on their websites in accordance with Investment Company Act rule 6c-11 to include premium and discount information in their annual reports? If not, where should they disclose this information?

65. Money market funds currently are not required to provide MDFP disclosure in their annual reports because the Commission has previously noted that the problems that MDFP disclosure seek to address with respect to investor understanding of performance do not appear to exist with respect to money market funds.[240] The proposal similarly would not require money market funds to provide MDFP disclosure. Should we require some or all money market funds to provide performance information in their shareholder reports? For example, should we require money market funds to include performance information similar to what they must disclose in their prospectuses (*e.g.*, 7-day yield, average annual total returns table, and performance bar chart) or similar to what other funds must disclose in their annual reports (*e.g.*, performance line graph)? If so, should these requirements apply to all money market funds or to a subset of money market funds, such as only money market funds that rely on proposed rule 498B (*i.e.*, whose shareholders receive prompt notice of certain material changes to the fund, with online access to the prospectus)?

66. Are there other changes we should make to current MDFP disclosure requirements? Please explain.

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[240] *See* MDFP Adopting Release, *supra* footnote 180, at Section I.C.5 (noting, however, that money market funds retain the option of providing investors with a discussion of their performance, including illustrative line graphs).

d. Fund Statistics

We are proposing to require a fund to disclose certain fund statistics in its annual report, including the fund's: (1) net assets, (2) total number of portfolio holdings, and (3) portfolio turnover rate. We are also proposing to permit a fund to disclose any additional statistics that the fund believes would help shareholders better understand the fund's activities and operation during the reporting period (*e.g.*, tracking error, maturity, duration, average credit quality, or yield).[241] Based on information we received in response to the recent Fund Investor Experience RFC, it is our understanding that investors prefer succinct fund disclosures in graphical format, and they are less likely to review information presented in long narratives.[242] We believe that permitting funds to provide key fund statistics in a user-friendly format could enable funds to provide more meaningful information to investors, and encourage investors to focus on the more significant factors in evaluating the fund's operations.

We are proposing to require funds to include their net assets as of the end of the reporting period because we believe this disclosure would provide important context for other required information in the shareholder report.[243] Under our proposal, funds would be

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[241] *See* proposed Item 27A(e).

[242] *See* Broadridge Comment Letter I (commenter conducted survey showing that investors are more likely to review fund disclosures if they are delivered in a summary format); *see also* ICI Comment Letter I (encouraging the Commission to allow funds to produce summary shareholder reports that are succinct and informative).

[243] Because the measure of a fund's net assets is included in the fund's audited financial statements, the fund would be required to use or derive such statistic from the fund's audited financial statements. *See* proposed Instruction 3 to proposed Item 27A(e).

If a fund provides tools to help shareholders better understand online or mobile presentations of annual reports, it may wish to provide the ability for shareholders to refer to updated net

required to provide a graphical presentation of holdings.[244] A fund would have the flexibility to provide this graphical presentation either as a percentage of the fund's net asset value, total investments, or investment exposures.[245] We believe that knowing the fund's net assets would allow a shareholder to appreciate better the impact of each holding on the overall performance of the fund.

Similarly, we are proposing to require funds to include the total number of portfolio holdings as of the end of the reporting period.[246] Investors historically have viewed information about a fund's holdings as important to their investment decision process.[247] Many funds currently voluntarily provide the number of fund holdings on their websites, but

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assets when reviewing these presentations, so they are seeing current information. Because the measure of a fund's net assets that would appear in the annual report would be derived from the fund's audited financial statements, the ability to update this statistic (which updates would presumably not be based on audited financial statements) would have to be an add-on functionality, and not a replacement for the end-of-period statistic that would appear on online presentations. For example, a fund could include a pop-up box attached to the fund's net assets information showing the fund's net assets as of a more recent specified date. *See* discussion at *infra* Section II.B.4; *see also infra* footnote 338 and accompanying text (discussing the proposed instruction requiring that the default presentation that any electronically presented annual report uses must be the value that the applicable form requirement prescribes).

244 *See infra* footnote 259. Because we are proposing to require that the fund statistics section appear adjacent to the graphical representation of holdings in the annual report, the net assets statistic would provide shareholders with relevant context for the holdings information that we believe would be helpful to shareholders. *See infra* Section II.B.3.

245 *See infra* text accompanying footnote 264.

246 Because all portfolio holdings are included in a fund's audited financial statements, the fund would be required to use or derive this statistic from the fund's audited financial statements. *See* proposed Instruction 3 to proposed Item 27A(e) of Form N-1A; *see also supra* footnote 243 (discussing the use of online tools to supplement, rather than replace, statistics that are derived from a fund's audited financial statements).

247 *See e.g.,* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 9 (noting that 45% of investors deemed a fund's portfolio holdings as "absolutely essential information to any investor").

Commission rules do not require them to do so. We believe that, together with the graphical holdings information and net assets, knowing the number of a fund's holdings could help investor to understand better the fund's diversification, which could in turn provide insight into the fund's susceptibility to market fluctuations.[248] Accordingly, to help ensure that an investor has access to information about the total number of fund holdings and to help contextualize other information that funds disclose, we are proposing that funds include that information as of the end of the reporting period in their annual reports.

Finally, we are proposing to require funds to include their portfolio turnover rate as of the end of the reporting period.[249] A higher portfolio turnover rate generally indicates higher transaction costs and may result in higher taxes.[250] Therefore, we believe that a fund's portfolio turnover rate may provide shareholders with a more complete view of the costs associated with investing in the fund.

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248 *See, e.g.* Morningstar's Investing Glossary, *available at* http://www.morningstar.com/InvGlossary/number_of_holdings_in_portfolio.aspx (noting that number of holdings information is meant to be a measure of portfolio risk because the lower the number of portfolio holdings, "the more concentrated the fund is in a few companies or issues, and the more the fund is susceptible to the market fluctuations in these few holdings").

But see Concentrate on Concentration, FINRA Weekly Update, *available at* https://www.finra.org/investors/learn-to-invest/advanced-investing/concentration-risk (stating that a portfolio can be subject to concentration risk even when assets are invested in many different holdings).

249 Because a fund's portfolio turnover is included in the fund's audited financial highlights, the fund would be required to use or derive the portfolio turnover from the fund's audited financial highlights. *See* Instruction 3 to proposed Item 27A(e); *see also supra* footnote 243 (discussing the use of online tools to supplement, rather than replace, statistics that are derived from a fund's audited financial statements).

250 *See supra* footnote 558.

Besides requiring funds to include their net assets, number of fund holdings, and portfolio turnover rate, we are providing flexibility for funds to disclose additional fund statistics if they are reasonably related to a fund's investment strategy. In general, funds would be limited in their ability to include information in their annual reports beyond that which Form N-1A would specifically permit or require.[251] We are proposing an exception to this limitation because these additional fund statistics may help shareholders better understand the fund's activities and operation during its most recent fiscal year. Permitting funds to provide key fund statistics that are tailored to the fund's investment strategy could enable them to provide information that is meaningful to their specific shareholder base. The proposed flexibility to include additional "statistics"—a term that we believe conveys a brief presentation of quantitative measures—is designed to provide information in a concise format that would assist shareholders in evaluating significant factors that reflect the fund's performance and operations. For example, a fund that has a stated investment objective of maintaining returns that correspond to the returns of a securities index might consider including its tracking error as an additional statistic. Similarly, a fund that invests primarily in fixed-income bonds might consider including statistics such as maturity, duration, average credit quality, or yield. In each case, these additional statistics would be reasonably related to the relevant fund's investment strategy and would help shareholders better understand the fund's activities and operations during the reporting period.

We are proposing several instructions that are designed to help shareholders more easily digest any additional statistics that funds would disclose in their annual reports, and to

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[251] For instance, funds have the ability to select the most appropriate categories when preparing their graphical representation of holdings. *See* proposed Item 27A(f) of Form N-1A.